

Equity Compensation: Instruments, Accounting, and Tax

MGT 816 · The Private Firm CFO · Session 5

Prof. John Barrios · Yale SOM · September 21, 2026

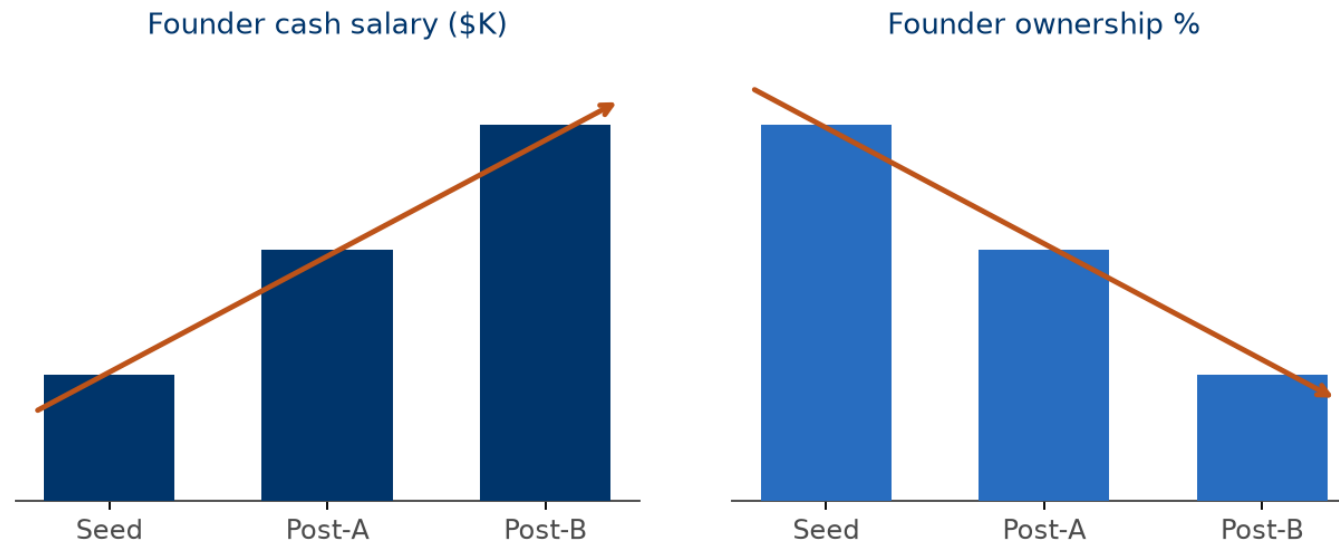
Case 2 packet (Solstice Robotics) out today · memo due Wed 9/30, 1:00 pm.

The questions we answer today ★

1. Why equity, and who gets it?
2. Which instrument? (restricted stock / RSU vs. ESO)
3. How much?
4. Employee tax — when taxed, how much, ordinary vs. capital gains?
5. Company tax — deduction: when, and how much?

Restricted Stock • RSUs • NQSOs • ISOs • Phantom/SARs — then 409A: what the stock is even worth.

Founder pay after funding rounds



Salary rises; ownership dilutes, Seed → A → B (directional; no survey figures shown).

Low founder salary signals commitment to VCs and extends runway.

Still pay a livable wage — cash stress distracts from the business.

Source: 2015 Venture Capital Executive Compensation Survey.

Founder vs. non-founder compensation

+12.6%
more equity held by founders

-\$240,000
less cash taken by founders

Eventually build one formulaic, transparent comp framework — same logic for founders and non-founders.

Framework details + Buffer's open formula → appendix; founder-comp benchmarks → Bengtsson–Hand reading.

Source: 2015 Venture Capital Executive Compensation Survey (averages across all stages).

Restricted stock and RSUs

- Restricted stock = shares given as pay; “restricted” = vesting / repurchase-on-departure.
- Founder common stock is restricted stock (S04 callback).
- RSUs = a promise of shares, not shares yet.
- RSUs settle at vest — you get shares or cash.
- Similar in function — critically different in tax (next slides).

Restricted stock: tax treatment, both sides ★

The employee's side	The company's (CFO's) side
FMV taxed as ordinary income at vesting — each tranche, at that date's FMV.	Deduction mirrors the employee's income in amount and timing.
Optional 83(b) → tax at grant instead.	An 83(b) that shrinks later income also shrinks the later deduction.

The tax treatment drives the accounting DTA — slide 11.

Poll: Beyoncé's restricted stock

Shared facts

Lady Gaga founds Poker Face and hires Beyoncé as employee #1: 1,000 shares of restricted stock, vesting 25%/year over 4 years (250 shares/yr).

Stock-price path $t_0 \rightarrow t_4$: \$10 / \$15 / \$25 / \$35 / \$50

Q(a): End of Year 1 — report / deduct?

- A. \$0 / \$0
- B. \$3,750 ord. income / \$3,750 deduction (250×\$15)
- C. \$2,500 / \$2,500 (250 × grant \$10)
- D. \$3,750 capital gain / \$0

Q(b): If 83(b) filed — total ordinary, ever?

- A. \$31,250 (no-election total)
- B. \$10,000 (1,000×\$10, then \$0 per vest)
- C. \$0
- D. \$12,500 (the Year-4 tranche)

The 83(b) election ★

- Elect to tax all shares now, at grant-date FMV — ordinary income today.
- All later appreciation then taxes at capital-gains rates.
- **30-day filing window from grant. No extensions.**
- RSUs are ineligible — a promise isn't property (why early-stage firms use restricted stock).
- Risk: forfeit $\Rightarrow$ no refund (capital loss only if repurchased at a loss).

Early-exercised options use the same mechanism — slide 30.

Accounting: restricted stock (same entries as founders') ★

Book expense is identical to founders' restricted stock. Grant value \$100, 4-yr vest.

1/1 No entry for the award (grant-date value \$100)
(not yet earned, so nothing goes into equity)
(no contra-equity account under ASC 718)

12/31 Dr Compensation Expense \$25
Cr Paid-in Capital \$25 ($\$100 \div 4$)

Grant-date value; recognized ratably; never remeasured. Tax treatment differs from book → next slide.

Adding the tax layer: the deferred tax asset ★

\$100 grant, 4-yr vest, 20% corporate rate, price unchanged in year 1.

12/31 Dr Compensation Expense \$25

Dr Deferred Tax Asset \$5 [= $\$25 \times 20\%$]

Cr Paid-in Capital \$25

Cr Deferred Tax Expense \$5

Book expense now, tax deduction only at vesting $\Rightarrow$ a deferred tax asset.

Employee stock options: what and why

A right — not obligation — to buy shares at a preset price; non-transferable, dilutive, long-dated; no cash out the door for the company at grant.

Upside for the deal

- Incentive to raise the stock price
- Golden handcuffs over vesting
- Employee times exercise to personal liquidity
- Capital comes in at exercise

Costs

- Dilutive to existing holders
- Employee bears stock risk
- Private-company illiquidity

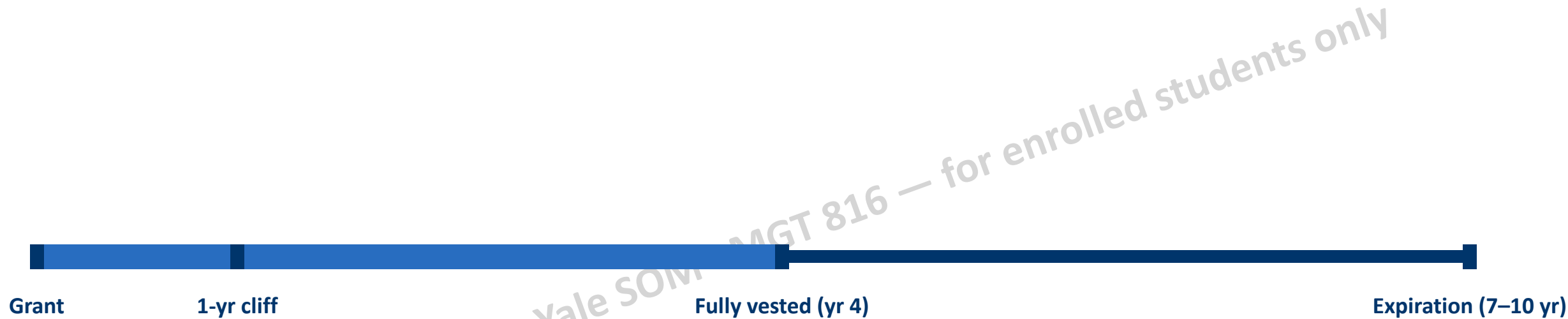
Designing the option program

- Plan reserves a pool: **10–20% of fully diluted** shares.
- Seed/Series A $\approx$ 10–15%; Series B–D $\approx$ 4–10% — negotiated with investors.
- Think grants as **% of fully diluted**, not raw share counts.
- Pool caps protect against dilution.
- Instrument choice (NQSO / ISO / RSU) sets up the tax block.

Option vocabulary

Term	Gloss
Grant	The award of options to the employee
Vesting	Earning the right to exercise over time
Exercise	Paying the strike to buy the shares
Strike price	Preset purchase price per share
Spread	FMV – strike at exercise
Term	Life of the option (7–10 yrs)

The ESO timeline



Standard 4-year vest, 1-year cliff, then monthly/quarterly vesting to year 4; allowable exercise period to expiration.

Discussion: is 4 years right?

The fine print on this timeline — slide 30.

ASC 718: options are an expense ★

- Book the **grant-date fair value of the option itself** (Black-Scholes / lattice / Monte Carlo).
- Expense **ratably over vesting; never remeasured** for later price moves.
- Historic controversy: expensing options was fiercely resisted.

Journal-entry template

At grant — no entry (stock ledger only).

Each vest year:

Dr Compensation Expense

Cr Paid-in Capital — Stock Options

Poll: StarWars grants Luke options

Shared facts

StarWars Corp grants Luke Skywalker options on 1/1/18, at-the-money, 4-year vest, 10-year term, taxes ignored (book only).

Grant: 10,000 options · strike \$20 · stock \$20 · option FV \$8.

What's booked at grant, and what's the Year-1 expense?

- A. \$80,000 expense at grant
- B. Nothing at grant; \$20,000/yr ($10,000 \times \$8 \div 4$)
- C. Nothing at grant; \$50,000/yr (strike-based — wrong basis)
- D. Nothing until exercise

Poll: ...and when Luke exercises?

Facts + template

All options vested and exercised; stock now trades much higher (FMV \$50). Record the entry.

Template: Dr Cash ___ / Dr PIC — Stock Options ___ / Cr PIC — Common ___

Option

- A. Dr Cash \$200,000 / Cr PIC—Common \$200,000 (loses pool transfer)
- B. Dr Cash \$200,000 + Dr PIC—SO \$80,000 / Cr PIC—Common \$280,000
- C. Dr Cash \$500,000 / ... (cash at FMV — wrong)
- D. Dr Cash \$200,000 + Dr Comp Exp \$300,000 / Cr PIC—Common \$500,000 (expensing the spread — the TAX view, not GAAP)

Two tax regimes: ISO vs. NQSO

- ISO = special employee tax treatment, strict conditions.
- NQSO = no special treatment.

NQSO = better tax outcome for the company.

ISO = better tax outcome for the employee.

The asymmetry that slide 24 quantifies.

ISO tax treatment and requirements ★

Requirements	Two employee benefits
Hold ≥ 2 yrs from grant AND ≥ 1 yr from exercise.	Tax deferred to sale.
Strike $\geq$ FMV at grant.	Long-term capital-gains character.
Exercise within 10 years.	
$\leq$ \$100K (grant-date value) first-exercisable per year.	
Break a condition $\Rightarrow$ disqualified to NQSO.	

... also subject to AMT.

NQSO tax treatment ★

	Employee	Company
At grant	No taxable income.	No deduction.
At exercise	Spread (FMV – strike) taxed as ordinary income (W-2, withholding).	Deducts the same spread.
At sale	Post-exercise appreciation is capital gain.	No deduction.

The deductibility asymmetry ★

- Employers deduct the NQSO spread at exercise.
- ISOs give the employer **no deduction** — unless disqualified.
- **Only employees can receive ISOs; anybody can receive NQSOs.**

Who prefers what	
Profitable / mature firms	→ NQSOs (the deduction has value)
Loss-making startups	→ ISOs (deduction worthless in NOLs anyway)
Employees	→ ISOs (better tax)

AMT I — two parallel tax systems ★

You compute your tax twice and pay the higher one.

Regular system

- Ordinary income; your familiar brackets.
- ISO exercise is invisible — no income until sale.

AMT system

- Adds back preference items — classic one is the ISO bargain element at exercise (FMV – strike; on paper, no cash).
- Exemption \$90,000 single; phases out \$0.50 / \$1 of AMTI over \$500,000.
- Rates: 26% on first \$240,000 of base, 28% above.

AMT owed = $\max(0, \text{tentative minimum tax} - \text{regular tax})$. Exercise-and-hold ISOs is THE textbook trigger.

You can owe six figures having sold nothing.

Course-simplified parameters (they mirror Case 2's Exhibit D reference card).

AMT II — the worksheet: facts ★

Facts

Same Luke Skywalker grant you just journaled; FMV now \$50; exercise-and-hold; sells nothing.
Exercises all 10,000 vested ISOs, strike \$20, FMV \$50.
Single filer, 2026 taxable income \$180,000.
Regular federal tax \$35,000.

Worksheet (fill it in)

- L1 Bargain element
- L2 AMTI
- L3 Exemption / base
- L4 Tentative tax (26% / 28%)
- L5 AMT owed

AMT III — (mostly) a prepayment ★

1. **The credit** — AMT paid on ISO exercises becomes a credit against future regular tax: timing, not (usually) a permanent cost.
2. **The escape hatch** — sell in the same calendar year and the AMT adjustment disappears: the sale becomes a disqualifying disposition (ordinary income instead; slide 22).
3. **The strategy** — exercise early, while the spread is small: small spread $\Rightarrow$ small add-back $\Rightarrow$ little or no AMT (why early-exercise + 83(b) plans exist $\rightarrow$ slide 30).

Mostly, because the credit unwinds over years — and the cash is still due next April.

QSBS §1202 in one slide ★

Qualified Small Business Stock — a 0% federal rate on qualified gains.

Qualification checklist

- ✓ C-corp
- ✓ Original issuance (from the company, not secondhand)
- ✓ Gross assets ≤ threshold at issuance
- ✓ Active business

Issued ≤ Jul 4, 2025	Issued after Jul 4, 2025
Hold 5 yrs → 100% exclusion	Tiered 50/75/100% at 3/4/5 yrs
Cap \$10M (or 10× basis)	Cap \$15M
Asset test ≤ \$50M	Asset test ≤ \$75M

Option stock is 'issued' when you EXERCISE — not when granted. The clock and the asset test both run from exercise. Waiting can kill QSBS while your options sit safely vested.

State conformity varies (CA/NY differ).

The option lifecycle's fine print ★



1	90-day window — leave and most plans give ~90 days to exercise vested options or forfeit: quitting starts a clock.
2	3-month statute — exercise an ISO >3 months post-termination (even a board-extended window) and it's taxed as an NQSO; extension ≠ ISO.
3	Early exercise + 83(b) — exercise UNVESTED options at a tiny spread, file 83(b) within 30 days; the LTCG and QSBS clocks start now.
4	\$100K/year ISO limit (grant-date value first-exercisable per year) — grants above it split ISO / NQSO.

Two clocks start at exercise: 1-year LTCG and 5-year QSBS. No clock starts while you wait.

Phantom stock and SARs

- Phantom stock = payout tracks the stock, no ownership.
- SAR = appreciation only, settled in cash or stock.
- Taxed as ordinary income when paid; deductible to the company.
- Use cases: LLCs, dilution-averse boards, late-stage cash bonuses tied to the stock price.

Why §409A exists

- Enron executives accelerated deferred comp pre-bankruptcy, leaving rank-and-file with nothing.
- The American Jobs Creation Act of 2004 added §409A.
- Restrictions on deferral timing + penalties for below-FMV strikes: immediate income tax + **20% federal penalty** + state add-ons.

Pricing common before 409A — the FreshBites check

Before §409A, VCs simply set common at 10% of preferred — why so low?

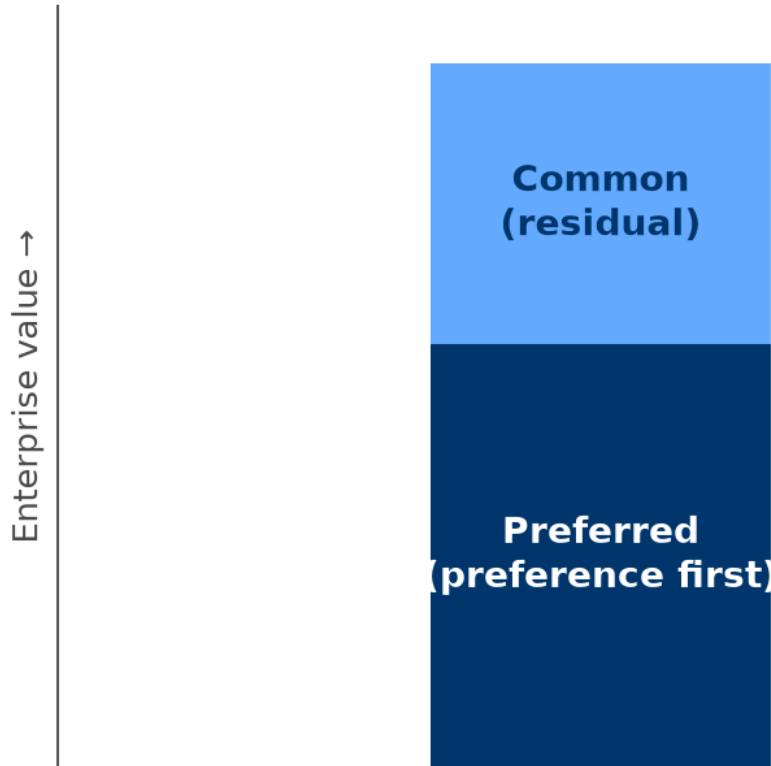
FreshBites' Series A preferred sold at \$4.00; the 409A pegs common at \$2.03. The gap mainly reflects—

- A. the valuation firm lowballing to help employees.
- B. liquidation preference of the preferred + marketability/control discounts on common.
- C. a fixed 2× convention.
- D. arbitrary negotiation.

409A requirements and methods

- Refresh every 12 months or on material events (financings).
- A qualified independent valuation = safe harbor (strike $\geq$ FMV avoids penalties).
- Three methods triangulated: **cost, income (DCF), market comps.**
- Carta and valuation firms handle these.

Allocating value across share classes



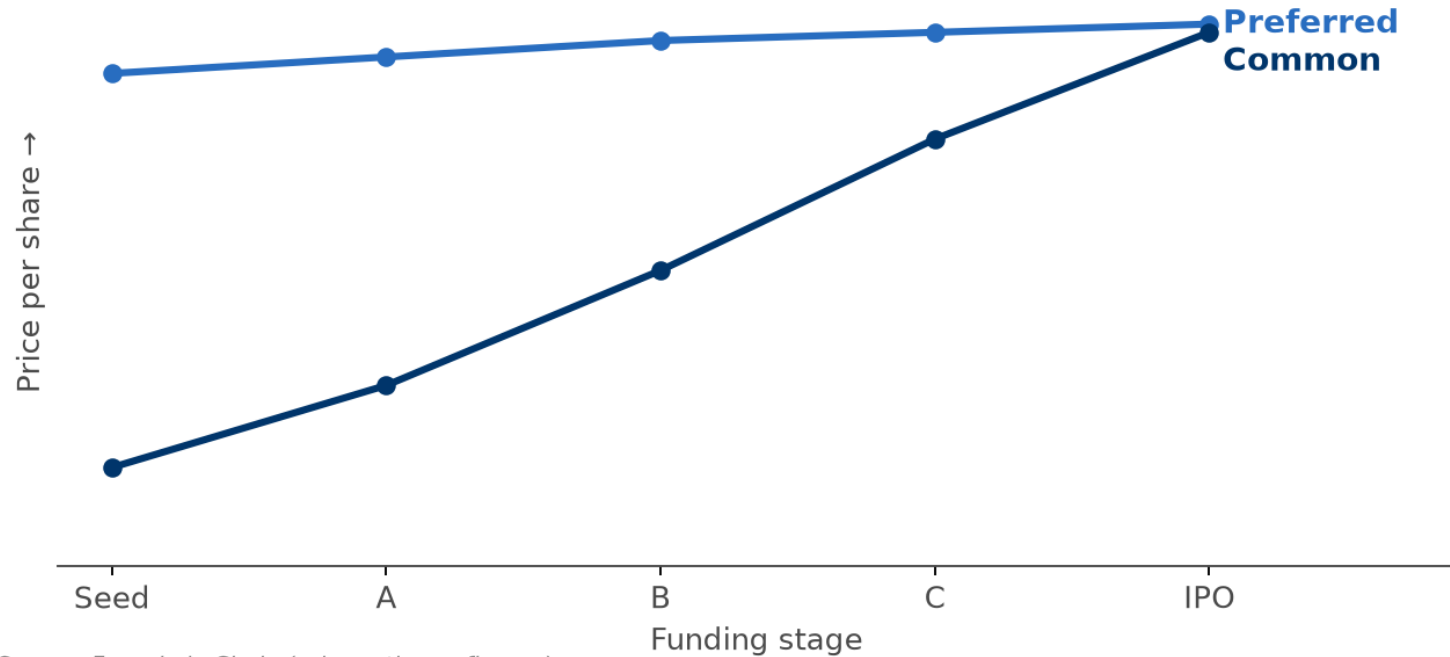
Schematic allocation — no figures.

A 409A allocates enterprise value across share classes.

Preference-laden preferred > common FMV in early stages.

Common gets the residual after the preferred's preference.

Common converges to preferred



Source: Founder's Circle (schematic; no figures).

Common and preferred prices converge as the company matures.

Exception: heavy participating preferred in late rounds keeps common suppressed.

Liquidation preferences ★

- Preferred is paid before common at a liquidation event.
- **1× on \$5M $\Rightarrow$ first \$5M to preferred. 2× $\Rightarrow$ first \$10M.**

This is why FreshBites common $\neq$ \$4.00.

Participation rights ★

Non-participating = choose preference OR pro-rata; participating = preference AND pro-rata. Preferred invests \$2M for 50%.

Exit (illustrative)	Non-part. (pref. takes)	Common	Participating (pref. takes)	Common
\$3M	$\max(\$2M, \$1.5M) = \$2.0M$	\$1.0M	$\$2M + 50\% \times \$1M = \$2.5M$	\$0.5M
\$10M	$\max(\$2M, \$5M) = \$5.0M$	\$5.0M	$\$2M + 50\% \times \$8M = \$6.0M$	\$4.0M

Participating always $\geq$ non-participating; at a big exit, non-participating converts to pro-rata.

Exit values illustrative; term-sheet economics get full treatment in S11.

Sales compensation design

- Base = pay for maintaining accounts.
- Variable = pay for new revenue.
- Design drivers: industry standards, which goals count (new / renewal / upsell), deal size, effort.

New ARR band	Payout rate
\$0 – \$333,333	8%
\$333,334 – \$666,666	10%
\$666,667 – \$1,000,000	12%
Above \$1,000,000	15%

Target \$1M ARR; accelerators reward the marginal dollar.

Commission accounting: capitalize, then expense ★

- Pre-2018: commissions expensed in the quarter of sale — mismatched multi-year contracts.
- **ASC 606 (ASU 2014-09):** capitalize the commission, expense systematically over delivery.

Worked example in S09 (rev rec).

Build the ISO-vs-NQSO decision tree

Pairs — 4 minutes. (1) Fill the 8 blanks on the tree. (2) Trace the employee through it; write their tax outcome in one line.

0	Who are you? — employee / consultant-or-director (consultants cannot receive ____ → must be ____).
1	Grant type: ISO / NQSO.
2	At exercise: NQSO → ____ income on spread + withholding; ISO → no regular tax but ____ add-back.
3	Termination? >____ months post-termination exercise ⇒ ISO becomes ____.
4	Sale: ISO qualifying needs ≥____ yrs from grant AND ≥____ yr from exercise; else disqualifying ⇒ spread is ____ income.
5	Company deduction? NQSO / disqualified-ISO: ____; qualifying ISO: ____.

Your employee: Casey, a contract data-science consultant, offered “ISOs” at \$1.00 strike.

**Appendix — reference only, examinable at
concept level.**

Compensation framework

1. Size the option/salary pool & tiers (option pool typically 10–20% of equity).
2. Allocate options (more for earlier/higher-risk hires, decreasing down tier and over time).
3. Set individual salary (tier + benchmarks, tenure, location).
4. Provide choice (high-salary/low-equity vs. low-salary/high-equity, equal market value).
5. Revisit yearly (performance + company milestones).

Title inflation is easy early and causes problems later.

Comp framework: tier logic

Tier	Equity %	Salary %
Tier 1 (earliest / senior)	Highest ↓	Highest ↓
Tier 2	Decreasing ↓	Decreasing ↓
Tier 3	Decreasing ↓	Decreasing ↓
Tier 4 (later / junior)	Lowest	Lowest

Allocations decrease down tier and over time; the mix's market value is tied to surveys / 409A.

Buffer's open salary formula

Salary = job type × seniority × experience + location (+ \$10K if salary choice).

Component	Values
Job-type base	Happiness hero \$45K · content \$50K · engineer \$60K · designer \$60K · ops \$70K · exec \$75K
Seniority multiplier	Senior +5% & 3k/\$M · Lead +7% & 4k/\$M · VP +10% & 6k/\$M · C-level/COO +20% & 8–10k/\$M · CEO +20% & 12k/\$M
Experience multiplier	Master 1.3× · Advanced 1.2× · Intermediate 1.1× · Junior 1.0×
Location add	A +\$22K · B +\$12K · C +\$6K · D +\$0K
Salary choice	+\$10K if you pick salary

Bonus matrix

- Growth-stage firms add a bonus structure on 2–3 metrics (net new ARR $\uparrow$, cash burn $\downarrow$, sometimes gross margin).
- Illustrative: \$8,000 net new ARR while burning \$9,000 $\Rightarrow$ 100% of pool pays out.

Open question: \$10,000 ARR while burning \$9,900 — what's the payout?

Read it as two axes: ARR up, burn down.

Bonus accrual journal entries

\$400,000 pool, full payout expected; ignore taxes.

Each quarter:

Dr Bonus Expense \$100,000 [$\$400,000 \div 4$]
 Cr Accrued Bonus Liability \$100,000

Year end:

Dr Accrued Bonus \$400,000
 Cr Cash \$400,000

Benefit plans + group health

- Why benefits: well-being + employer/employee tax advantages.
- Group health: costs shared; premiums tax-deductible both sides.
- HMO = in-network only, lower premiums.
- PPO = flexible, pays out-of-network at a lower rate.

Group health alternatives

- PEO — negotiates benefits, becomes employer of record, absorbs admin.
- HRA — fixed monthly employer contribution; employee buys own policy (deductible to business, tax-free to employee).
- Individual plans often cheaper.
- ACA allows staying on a parent's plan to 26.

§125 cafeteria + commuter benefits

- §125 cafeteria: pre-tax employee contributions reimbursed as expenses incur.
- Employer avoids Social Security / Medicare on dollars run through the plan.
- Commuter (§132): up to \$255/month transit + \$255/month parking, pre-tax.
- “\$100 in plan $\times$ 30% rate = \$30 saved.”

401(k)

- Defined-contribution: employee + employer contribute to a personal portfolio.
- Defer cash for compounding tax benefits.
- Roth = after-tax in, tax-free out.
- Traditional = pre-tax in, taxed out.

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